

Nonmarital Agreements

People take for granted the legal rights afforded to married couples. If one of the couple dies, the other inherits their joint property and may receive social security or retirement benefits. If the couple divorces, their assets are divided between them. Unfortunately, these same rights don't apply to unmarried couples, so financial planning may actually be more critical for them than for those who have tied the knot.

Why Do I Need a Nonmarital Agreement?

It may not sound romantic, but it's wise to have a written agreement that spells out how property, other assets, and shared expenses will be handled if your relationship ends. The best legal protection for unmarried couples living together is a nonmarital agreement, also referred to as a cohabitation, relationship, or "living together" agreement. It's a written contract that gives each of you legal control over your property and finances if the relationship ends, and it can save you attorney's fees and court costs if there's any disagreement about who gets what.

There are obvious financial benefits to living together, such as sharing rent and utilities, but there are also dangers involved. If you're in your twenties and haven't accumulated many assets yet, a nonmarital agreement may seem totally unnecessary. But if you're in a committed relationship that you expect to be long term, a nonmarital agreement is important.



Regardless of how many years you and your partner live together unmarried, when you split up, you're legally entitled to only property that is in your own name or was specifically designated yours by written contract.
